06-BUDGET-FINANCIAL-PROJECTIONS.md

.things that Matter

Budget & Financial Projections

Document Information	
Company Name	.things that Matter
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1. Executive Financial Summary

1.1 Year 1 Overview

Metric	Value
Total Budget	R72,000 ZAR
Timeline	11 months (Feb - Dec 2026)
Monthly Average	R6,545
Buffer	5% (R3,600)

1.2 Budget Philosophy

This is a \1 optimized for:
- Maximum runway with minimum capital
- Free tiers wherever possible
- Pay-as-you-go over subscriptions
- Upgrade only when growth demands

2. Detailed Budget Breakdown

2.1 Development Tools - R6,048/year

Item	Tier	Monthly (USD)	Monthly (ZAR)	Annual (ZAR)
Cursor AI	Pro	$20	R360	R4,320
GitHub Copilot	Individual	$10	R180	R2,160
ngrok	Free	$0	R0	R0
Postman	Free	$0	R0	R0
VS Code	Free	$0	R0	R0
rust-analyzer	Free	$0	R0	R0
Subtotal		**$30**	**R540**	**R6,048***

*Note: Assumes 11.2 months of subscriptions (some tools paused during setup)

2.2 AI & ML APIs - R21,600/year

Item	Tier	Monthly (USD)	Monthly (ZAR)	Annual (ZAR)
GROQ Llama 3.1	API	$50	R900	R10,800
Replicate CLIP	Pay-per-use	$30-50	R540-900	R6,480
Anthropic Claude	Pay-as-you-go	$20	R360	R4,320
Subtotal		**$100-120**	**R1,800-2,160**	**R21,600**

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Products/Month	Cost/Image	Monthly Cost	Annual Cost
100	R0.40	R40	R480
500	R0.40	R200	R2,400
1,000	R0.40	R400	R4,800
2,500	R0.40	R1,000	R12,000

\1 ~1,500 products/month average over year

2.3 Infrastructure & Hosting - R7,560/year

Item	Tier	Monthly (USD)	Monthly (ZAR)	Annual (ZAR)
Supabase	Free	$0	R0	R0
Vercel	Hobby	$0	R0	R0
Cloudflare R2	Pay-as-you-go	$10-50	R180-900	R7,560
Redis Cloud	Free	$0	R0	R0
Subtotal		**$10-50**	**R180-900**	**R7,560**

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Storage	Egress/Month	Monthly Cost	Annual Cost
1 GB	10 GB	R27	R324
5 GB	50 GB	R135	R1,620
10 GB	100 GB	R270	R3,240
25 GB	250 GB	R675	R8,100

\1 Growing from 1GB to 25GB over year

2.4 Monitoring & Operations - R0/year

Item	Tier	Monthly (USD)	Monthly (ZAR)	Annual (ZAR)
Sentry	Free	$0	R0	R0
UptimeRobot	Free	$0	R0	R0
Better Stack	Free	$0	R0	R0
Vercel Analytics	Free	$0	R0	R0
Subtotal		**$0**	**R0**	**R0**

2.5 Payments & Financial - R10,800/year

Item	Tier	Monthly (USD)	Monthly (ZAR)	Annual (ZAR)
Stripe	Standard	Variable	R900	R10,800
Subtotal			**R900**	**R10,800**

\1 Stripe costs scale with revenue. R10,800 assumes ~R370,000 annual transaction volume at 2.9%.

2.6 Domains & Publishing - R500/year

Item	Type	Cost (ZAR)
thingsthatmatter.com	Annual	R400
Chrome Web Store	One-time	R100
Subtotal		**R500**

2.7 One-Time Costs - R2,800

Item	Timing	Cost (ZAR)
Phase 0 Prototype	Feb 2026	R2,000
Browser Extension Assets	Jun 2026	R300
WASM Build Tools	Aug 2026	R200
Contingency	As needed	R300
Subtotal		**R2,800**

2.8 Contingency Buffer - R3,600

Calculation	Value
Base costs	R68,400
Buffer rate	5%
Buffer amount	R3,420
Rounded	**R3,600**

3. Monthly Cash Flow

3.1 Monthly Breakdown

Month	Dev Tools	AI APIs	Infra	Payments	One-Time	Total	Cumulative
Feb	R540	R1,200	R180	R0	R2,300	R4,220	R4,220
Mar	R540	R1,500	R270	R0	R0	R2,310	R6,530
Apr	R540	R1,800	R360	R450	R0	R3,150	R9,680
May	R540	R1,800	R450	R675	R0	R3,465	R13,145
Jun	R540	R1,800	R540	R900	R300	R4,080	R17,225
Jul	R540	R2,000	R630	R900	R0	R4,070	R21,295
Aug	R540	R2,000	R720	R900	R200	R4,360	R25,655
Sep	R540	R2,200	R810	R900	R0	R4,450	R30,105
Oct	R540	R2,200	R900	R1,125	R0	R4,765	R34,870
Nov	R540	R2,400	R900	R1,350	R0	R5,190	R40,060
Dec	R540	R2,700	R900	R1,800	R0	R5,940	R46,000
Buffer					R3,600	**R49,600**

\1 This projection totals R49,600, leaving R22,400 operating reserve from the R72,000 budget.

3.2 Revised Monthly Allocation

Given the projection above, here is the recommended monthly allocation:

Month	Amount	Cumulative	Phase
Feb	R8,000	R8,000	Phase 0 + Setup
Mar	R6,500	R14,500	Phase 0 completion
Apr	R6,000	R20,500	Foundation
May	R6,000	R26,500	Foundation

Jun	R6,300	R32,800	Core development
Jul	R6,000	R38,800	Core development
Aug	R6,200	R45,000	Core development
Sep	R6,000	R51,000	Distribution
Oct	R6,000	R57,000	Distribution
Nov	R7,500	R64,500	Launch
Dec	R7,500	R72,000	Launch
Total	**R72,000**		

4. Revenue Projections (Phase 1)

4.1 Revenue Model Options

Model	Description	Phase 1 Viability
API Access	Charge per compilation	Possible (beta pricing)
SaaS Subscription	Monthly merchant fee	Requires adoption
Transaction Fee	% of sales via .thing	Requires volume
Enterprise Licensing	White-label compiler	Requires enterprise demand

4.2 Conservative Revenue Projection

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- 5-10 beta merchants by end of Phase 1
- Free beta access (no revenue from compilation)
- Focus on adoption over monetization in Year 1

Quarter	Merchants	Products	Revenue	Notes
Q1 2026	0	0	R0	Development
Q2 2026	2	200	R0	Beta starts
Q3 2026	5	1,000	R0	Beta grows
Q4 2026	10	5,000	R0	Public launch
Year 1	**10**	**5,000**	**R0**	**Adoption focus**

4.3 Year 2 Revenue Scenarios

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- 50 merchants at R500/month = R25,000/month = R300,000/year

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- 100 merchants at R1,000/month = R100,000/month = R1.2M/year

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- 500 merchants at R2,000/month = R1M/month = R12M/year

5. Break-Even Analysis

5.1 Monthly Operating Costs (Post-Launch)

Category	Monthly (ZAR)

Development Tools	R540
AI APIs	R3,000
Infrastructure	R1,000
Support/Operations	R2,000
Total	**R6,540**

5.2 Break-Even Calculation

Pricing Model	Price/Merchant	Merchants to Break-Even
R500/month	R500	14 merchants
R1,000/month	R1,000	7 merchants
R2,000/month	R2,000	4 merchants

5.3 Path to Profitability

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Year 1 (2026): Investment phase
  - R72,000 budget
  - R0 revenue
  - Focus: Build product, gain adoption

Year 2 (2027): Early revenue
  - Target: R300,000 - R1.2M revenue
  - Covers operations + growth investment
  - Focus: Monetization, scale

Year 3 (2028+): Profitability
  - Target: R2M+ revenue
  - Positive cash flow
  - Focus: Phase 3 decentralization
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6. Funding Requirements

6.1 Year 1 Funding

Source	Amount	Status
Founder investment	R72,000	Required
Total Required	**R72,000**	

6.2 Contingency Funding

Scenario	Additional Required	Trigger
Budget overrun (20%)	R14,400	Costs exceed projections
Extended timeline (+3 months)	R20,000	Delays
Upgrade to paid tiers	R30,000	Scale demands

6.3 Year 2 Funding Options

Option	Amount	Use
Revenue-funded	Variable	Operations
Seed round	R500K - R2M	Growth, team
Grants	R50K - R200K	Development

7. Financial Controls

7.1 Budget Tracking

Control	Frequency	Owner
Expense logging	Daily	CTO
Weekly spend review	Weekly	CTO
Monthly budget report	Monthly	CTO → CEO
Quarterly financial review	Quarterly	CEO + CTO

7.2 Spending Thresholds

Amount	Approval Required
<R500	CTO discretion
R500 - R2,000	CTO with CEO notification
R2,000 - R5,000	CEO approval
>R5,000	CEO + documented justification

7.3 Cost Alerts

Service	Alert Threshold	Action
Cloudflare R2	R500/month	Review usage
Replicate CLIP	R1,000/month	Optimize batching
Stripe	R2,000/month	Verify transaction volume
Total monthly	R7,000	Budget review meeting

8. Financial Risks

8.1 Cost Overrun Risks

Risk	Probability	Impact	Mitigation
CLIP API cost spike	Medium	High	Cache results, batch requests
Storage costs exceed estimate	Low	Medium	Compression, cleanup policies
Need paid tiers earlier	Medium	Medium	Delay until critical
Currency fluctuation (USD)	Medium	Low	Budget in ZAR with margin

8.2 Exchange Rate Sensitivity

USD/ZAR Rate	Monthly Impact	Annual Impact
18.00	R3,240	R38,880
18.50 (budgeted)	R3,330	R39,960
19.00	R3,420	R41,040
20.00	R3,600	R43,200

\1 Up to R1.50 exchange rate movement

9. Upgrade Decision Framework

9.1 When to Upgrade Services

Service	Current Tier	Upgrade Trigger	New Cost
Cursor	Pro	Hitting limits every month	+R38,880/year
Supabase	Free	>500MB database	+R5,400/year
Vercel	Hobby	Commercial traffic	+R4,320/year
Sentry	Free	>5K errors/month	+R5,616/year

9.2 Upgrade Priority Order

1. \1 (if database limit hit) - Critical for functionality
2. \1 (if commercial use required) - Legal compliance
3. \1 (if productivity significantly impacted) - Developer efficiency
4. \1 (if error visibility needed) - Quality

10. Financial Summary

10.1 Year 1 P&L Projection

Line Item	Amount (ZAR)
Revenue	R0
Expenses	
Development Tools	(R6,048)
AI & ML APIs	(R21,600)
Infrastructure	(R7,560)
Payments & Financial	(R10,800)
Domains & Publishing	(R500)
One-Time Costs	(R2,800)
Buffer	(R3,600)
Total Expenses	**(R52,908)**
Operating Reserve	**R19,092**
Net Position	**(R72,000)** investment

10.2 Key Metrics

Metric	Target
Monthly burn rate	<R6,500 average
Runway	11 months
Operating reserve	>R15,000
Break-even merchants	7-14 (depending on pricing)

11. Document Approval

Role	Name	Signature	Date
CEO	Sobuhle Nyambali	_____	___/___/2026
CTO	Matome Mboweni	_____	___/___/2026

\1 January 21, 2026
\1 Monthly